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Traders@SMU – Long Short Equity Sector

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Cheniere Energy Inc. (LNG)

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Energy (Liquified Natural Gas)
Symbol: LNG
Recommendation: BUY

Headquarters: Houston, TX USA
Current Price: $296.39

Company Overview

Cheniere Energy (NYSE: LNG) is the leading U.S. LNG exporter and a globally significant participant in the liquefied natural gas value chain, specializing in natural gas liquefaction and export operations. The company's core business model centers on converting domestically produced pipeline natural gas into LNG for delivery to international markets including Europe, Asia, and Latin America, where diversified energy supply has become a critical strategic priority. Cheniere's operational flagship assets consist of two major LNG export terminals: Sabine Pass in Louisiana and Corpus Christi in Texas. The company's mid- and long-term strategy centers on expanding these facilities through additional trains and midscale capacity builds to capture incremental market share and fulfill long-standing export contracts. A key strategic strength is Cheniere's contract mix. The vast majority of its liquefaction capacity is sold under long-term contracts with investment-grade counterparties that are take-or-pay in nature. This contractual structure provides revenue stability and de-risks the business from short-term fluctuations in natural gas prices in the domestic market. As of the latest financials, this translates into multi-year revenue visibility and a predictable earnings stream that supports ongoing capital expenditures, debt servicing, and shareholder returns via stock repurchases and potential dividends. Operationally, Cheniere has navigated complex project execution milestones, including the scaling of its Corpus Christi Stage 3 expansion. The U.S. Department of Energy has approved a boost to export capacity at Corpus Christi, enabling increased throughput to non-free-trade-agreement countries, a strategic win that enhances export optionality. This regulatory facilitation underscores Cheniere's broader execution capability and alignment with policy priorities around energy security. In financial terms, recent earnings results reflect strong Cheniere's balance sheet shows continued access to capital markets for project financing, although capital intensity remains high given ongoing build-outs and maintaining a robust liquidity profile is critical. The company's growth strategy includes completing existing expansion phases while pursuing opportunities for further capacity additions in future years.

COMPANY STATISTICS

Market Cap ($ Bn):	$59.04
Enterprise Value ($ Bn):	$83.46
Trailing P/E:	11.64
Forward P/E:	19.53
Enterprise Value/Revenue:	4.18
Enterprise Value/EBITDA:	7.90

INVESTMENT THESIS

Cheniere's deep integration across liquefaction, export logistics, and long-term contractual frameworks uniquely positions it to capture this secular demand trend with relatively predictable revenue streams. At the core of Cheniere's investment appeal is its highly contracted revenue profile. Unlike commodity-exposed upstream producers, approximately 95% of Cheniere's current production capacity is contracted under long-term, take-or-pay agreements, providing stable, fee-based cash flows that largely decouple earnings from short-term spot price volatility. This model enhances visibility into future earnings, supporting disciplined capital allocation toward both growth projects and shareholder returns. In recent filings, Cheniere reaffirmed robust EBITDA guidance, with significant contributions driven by increased cargo volumes and higher contracted revenues, setting the stage for strong cash generation. Additionally, the company has instituted an aggressive capital return program, increasing its share repurchase authorization to more than $10 billion through 2030 in the context of strong profitability and cashflow growth.

Source: Disney CSR Report

Growth catalysts are primarily tied to operational expansions. The Corpus Christi Stage 3 project, including midscale Trains 8 and 9, has received federal approval to raise export capacity and is expected to be accretive to volumes over the next 18 months. These incremental assets underpin long-term revenue uplift and strengthen Cheniere's position as volumes outpace global competitors. In addition, record shipments and new long-term contracts